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TO : His Excellency
The President

FROM : Tai Ha Yiu

Mr. recommended that cc of this report should be sent to: Amb. Yang, Minister Han, Mr. Brown, Mr. Tomin, Vice Tomin.

The following is a report of Kishi's activities in the U.S. as given to me (by Fujita.) At my request to get the most authentic information, Fujita met Matsumoto Takizo, his close friend and Kishi's interpreter at the talks.)

Several weeks before his departure for the United States, Kishi held preliminary talks with Ambassador MacArthur which totaled 9 times. Kishi also sent an advance party to the U.S. to negotiate with the U.S. government in cooperation with Ambassador MacArthur, and Kishi did not discuss at length on any problems after his arrival in Washington except to exchange views on diplomatic and political issues. Discussion of the various problems had already been undertaken by the advance party. Talks on diplomatic and political affairs were carried out by Sawada Renzo, former ambassador to the UNGA, and Matsumoto Shunichi, member of the Japanese House of Councillors and former ambassador to London, while economic issues were conducted by Fujiyama Aiichiro and Uemura, president and vice president respectively of the Japan Chamber of Commerce. Fukuda, a Liberal-Democratic representative was also one of the negotiators. Publicity work was done by Kawabe, Kishi's public relations secretary and Hirasawa, editor of the Japan Times who went to the U.S. two months before Kishi. Kishi made all these arrangements before his departure. He did not leave one stone unturned. And as Matsumoto told Fujita, no one in the Japanese government is more publicity conscious than Kishi.

Kishi arrived in Washington on the 19th. Talks on serious problems were held twice with Eisenhower while less important issues were discussed during a golf session. The first conference on the 19th took place for about 40 minutes before the luncheon hour. On the U.S. side were President Eisenhower, Secretary Dulles, Secretary Robertson and Amb. MacArthur. On the Japanese side were Kishi, Ambassador to Washington Asakai, Chief Cabinet Secretary Ishida and Matsumoto Takizo who acted as interpreter. Kishi reaffirmed to Eisenhower that Japan would not become a neutral state but would go along with the free world in anti-communist policies, although some quarters propagandize that Japan was neutrally inclined which was entirely to the contrary. He further explained to Eisenhower that contrary to reports of anti-Americanism in Japan, it was really the socialists who try to raise such sentiments among the people. This was expected of the socialists, he said, however, there was nothing grave to worry the United States.

Kishi laid before Eisenhower the need for expanding trade with Red China, that if it was not expanded, the socialists would use it as an issue to make his government's position very difficult.

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He made mention of his visit to Southeast Asia before his trip to the U.S. stating that if those countries were to be left as they are at present, there was every probability they would turn communist. Kishi emphasized that it was up to the free world to help them in their economic development. These countries, he said, have very little self-producing potentialities.

Besides the above problems, Kishi made known Japan's position concerning the Ogasahara (bonin islands) and Okinawa. Kishi expressed his hope that in view of the Japanese political situation and national sentiment, the U.S. would at least turn over educational rights of Okinawa to the Japanese government and free travel of Japanese to the Ogasahara. He further hoped that the U.S. would make some commitment to him that in 10 years time, it would turn over to Japan administrative rights over Okinawa and the Ogasahara.

What impressed him most, [Matsumoto told Fujita] was that when Kishi was explaining the above matter, Eisenhower jotted down notes from time to time. After hearing what Kishi had to say, Eisenhower advised that the prime minister take up the matters with the officials concerned. According to Matsumoto, Eisenhower was most friendly and understanding. He told Kishi that Japan must strengthen her defense forces so that the U.S. could withdraw its armed forces.

At the second meeting with Eisenhower, nothing of importance was discussed except on points to be mentioned in the Joint Communique.

Kishi's meeting with the government officials took place on the morning of the 20th. The American side was represented by Dulles, Robertson, MacArthur, Parsons of the Northeastern Affairs Section, Radford, Wilson and two or three others. On the Japanese side were Kishi, Ishida, Asakai, Shinoda of the Embassy, and Matsumoto Takizo.

At the above meeting the formation of a joint U.S.-Japan committee to study the security arrangements between the two countries was discussed. Although such a committee presently exists in Japan, the new committee would be represented by personnel of ambassadorial rank. This committee will discuss deployment of American troops in Japan. Although newspaper comments on this matter have varied according to their own interpretations, it does not mean that the committee would discuss the revision of the U.S.-Japan security treaty. [Matsumoto told Fujita that] one thing ~~one~~ could say with confidence was that the possibility of the revision of the treaty was very remote, and that if it was to be revised, it would be done in accordance with the international situation.

With regard to the revision of the security treaty bitter opposition came from the high U.S. defense officials although the defense department itself was not so strong in its opposition. However, it was also of the opinion that the present was not the right time. Kishi told them that he did not expect such a revision at the present time but hoped they would commit themselves that at a certain time this would be done. However, it was an unsuccessful attempt. Not only were the defense officials opposed to this, but other quarters joined in.

The Okinawa problem was also taken up at this meeting with Kishi giving an eloquent presentation of his government's position and requesting the U.S. to turn over educational rights to Japan. The American view was however that if educational rights were to be recognized, it would hamper the U.S. military government in carrying out its policies and that it would only cause confusion. The U.S. outrightly rejected this

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request. Strong opposition was aired at this meeting by the American members present, but the strongest came from Radford. He accused Japan of insincerity in building up her own defense forces, and though he did not mention the country by name, remarked that this small and poor country shed blood to keep her freedom and at present maintains a strong defense force. For Japan, a prosperous nation, to leave her security problems in the hands of other countries and concentrates only on getting a few extra dollars was certainly not to be sympathized. Bitterly criticizing Japan for her friendship policies with the Soviet Union and Red China when 64 Russians armed divisions are massed around Kamchatka and the Kuriles ready to spring on Japan at any time, Radford emphasized his criticism with maps before him.

With regard to Japan's request for travel to the Ogasahara islands, Radford pointed out that the U.S. could not allow this for the reason that Ogasahara, being an important military base, it would have to be an absolutely restricted area for security reasons, and although he knew that the people to be allowed to travel would be thoroughly screened, it would be too big a risk. To keep military movements intact, he stated it would not be possible to grant Japan's request.

After Radford had given this explanation, Dulles took it up saying that he would study the matter of travel to the islands, giving the Japanese side some ray of hope. (However, Matsumoto was not too sure that anything would actually take place in the near future.)

With regard to the strengthening of Japan's defense forces and the withdrawal of U.S. forces, Radford stated that U.S. military forces would begin withdrawal from Japan by latest the end of the year but that this would depend on Japan's own defense efforts. He said he could not understand why Japan is unable to increase her defense strength any more than the number she is contemplating at present. Dulles and Robertson joined with Radford in this.

A revision of the Constitution was strongly recommended by Dulles and Radford. However, Kishi told them it would not be easy for him to promise that it would be done soon but that he was determined to bring it about during the time he is the prime minister.

The prime minister requested the early release of U.S. sentenced war criminals at Sugamo Prison and the Japanese are convinced that the problem would be settled soon.

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/The second meeting with the government officials, Dulles did not remain long and talks were conducted with Herter and another assistant undersecretary of state, Secretaries Anderson, Benson, Weeks and Hollister as well as the president of the Import-Export Bank. The Japanese side was represented by Kishi, Sawada and Fujiyama. The important point discussed at this meeting was the Southeast Asia Development Plan, its importance and its urgency. To be frank, however, no decision was reached at this meeting except assurance the U.S. would study Kishi's plan for a US financed Southeast Asia Development Fund. No concrete result was attained although Kishi repeated several times the importance of such an undertaking. Hollister pointed out that in regard to Japan's Southeast Asia development plan, he had received the information that India, Ceylon, Burma were opposed to it and that in his opinion it would be rather difficult to obtain approval from the Philippines and Indonesia. Kishi explained that it was not necessarily so, but Matsumoto was afraid the Americans did not understand.



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Concerning the easing of CHINCOM restrictions, Kishi explained with facts and figures why it was necessary for Japan to expand trade with Red China. The American side was quite understanding of the Japanese position but stated that Red China has very little foreign currency at hand and would not be able to import much foreign goods, and that Japan should not expect too much from trade with it. As a result of this talk, it is expected that embargo on some 178 items, said to be non-strategic, would be lifted.

Negotiations on the loan project were conducted by Fujiyama Aiichiro, Uemura, Fukuda and Ambassador Asakai prior to Kishi's arrival and his visit merely hastened the decision. What Japan is grateful for, politically and economically, Matsumoto said, is that many people in the American government had been very understanding and sympathetic towards Japan, particularly the presidential advisor, Sherman Adams, who helped much to ease Japan's position. This is something Japan can never forget, he said.

Regarding credits from the IMF, World Bank and the Import-Export Bank, Kishi requested a 700 million dollar loan from the three banks, however, the total amount of loans was decided at \$500 million. Kishi explained to them the foreign currency deficit in Japan due to excess imports as compared to exports. If this deficit is to be balanced, it would take till next spring at which time Japan would be able to pay back the loans with the exception of the \$300 to \$400 million loan from the World Bank for use in the construction of highways, hydroelectric fields etc. which would be paid on a long term basis. This was what Kishi explained and everything was agreed to along Japan's wishes.

Matsumoto told Fujita that ^{Kishi}he came to the realization on his visit that the Americans had the utmost faith and confidence in the strength and paying ability of Japanese business. This confidence aided a great deal in obtaining the loans.

With regard to the boycott of Japanese goods in some districts in the U.S., the U.S. side stated that it was something the government cannot handle but would try to help. However, the major part must be handled by Japan in that superior goods be sent to the U.S., otherwise it would be impossible to make the Americans change their minds.

The problem which took up the most time was the question of whether or not certain points discussed and agreed to should or should not be mentioned in the Joint Communique. The U.S. requested that the points concerning the assignment to Japan the custody of war criminals in Sugamo prison and U.S. green light on the easing of CHINCOM trade embargo against Red China be deleted from the communique in view of the public sentiment over the controversial Girard case. Kishi had been anxious to insert such matters in the Joint Communique to show the Japanese people that he did achieve something and boost his own popularity, but at the strong insistence of the U.S., these points were deleted from the Communique.

According to Matsumoto Takizo, Kishi's achievement from his U.S. trip was that he helped to hasten what would have taken time as with the expansion of trade with Red China. It could be said that he hastened to make the Americans understand the necessity of Japan expanding her trade with Red China. On the release of the war criminals, it could be said that he received commitment from the Americans that the criminals would be returned to Japanese custody.



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There is every hope that the U.S. will return to Japan the Japanese assets left in the U.S. during the war, Matsumoto said. When Adenauer visited the U.S., it agreed to consider Adenauer's request. This gave the Japanese hope that the U.S. would do the same with their assets. The companies holding the biggest assets in the U.S. are the Osaka Shosen, the Yokohama Savings Bank, and private companies such as Mitsui, Mitsubishi and the Okura Shoji. These private holdings amount to a tremendous figure.

The other achievement of Kishi's if it can be called one, (Matsumoto told Fujita,) was the warm reception given him by the U.S. It was warmer than the one given to Yoshida during his declinings of power. As to Hatoyama, his visit was made on his way home from Moscow and no comment can be made. The publicity work done for Kishi was indeed the biggest help.

In New York Kishi met the Secretary General of the UN as well as prominent business people, but they were merely friendly calls and nothing of importance was discussed. Kishi was unable to call on MacArthur himself but sent Matsumoto Takizo in his place who found the general in fine health. Kishi also visited Los Angeles to meet and talk with the Japanese there.

While in Honolulu, Kishi was warmly welcomed by the foreign and Japanese community there. He was honored at a dinner sponsored by the Honolulu and the local Japanese Chambers of Commerce which was a memorable event in that such had not been done before. Kishi had hoped the dinner would be jointly sponsored and was gratified when they notified him that it would be done so. (It might seem a mere trifle but it meant a great deal, Matsumoto said.)

However warmly welcomed Kishi was by the U.S., Matsumoto feels he was not half so warmly received as was Adenauer on his visit, due probably to the fact that Germany is a divided nation. On the other hand, the reception given to Kishi was not to be compared to the ones the other prime ministers of Japan received on their visits.

(According to Fujita,) Matsumoto told him that the recent Taipei uprising was instigated by the Generalissimo's son and the U.S. government knows but cannot make it public, but their feelings are not the same as they were before.

(Fujita met Matsumoto Takizo for two hours.) Most of what he heard from the latter have been out in the newspapers but since some of them have not been made public, Matsumoto expressed his hope that (Fujita) would keep them confidential. *the man*

In one of his talks with the U.S. officials, Kishi requested that Japanese flags fly alongside the Stars and Stripes of the United States on Japanese national holidays in Okinawa and the Ogasahara islands. The U.S. army authorities in those places have made it a point to fly the American flags on Japanese national days. This request, too, was flatly rejected, (according to Matsumoto Takizo.)